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China Merchants Energy Shipping Co. Ltd. | Asia Pacific

1H26 Profit Alert: Strong QoQ Improvement in 2Q26 Earnings

Reaction to earnings

Strengthens our thesis
Impact to our thesis

↑ Modest upside
Financial results versus consensus

↑ Modest revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- CMES 1H26 prelims were largely in line with MSe; the implied midpoint of 2Q26 net profit was Rmb4.2bn.
- The significant QoQ improvement comes despite the SoH shutdown during 2Q, due mainly to CMES's tanker operational proficiency and a strong dry bulk market.
- We remain constructive on tanker names as the up-cycle is playing out; 3Q26 could see further QoQ upside should the Strait re-open as expected.
- We see potential upside to F26 earnings if elevated tanker spot rates and oil re-stocking demand prove stronger/last longer than expected.

CMES announced 1H26 preliminary results on July 5, 2026. It expects 1H26 net profit of Rmb6,600-7,300mn, up 214-248% YoY. Recurring net profit is expected to be in the range of Rmb6,540-7,240mn, up 244-281% YoY. The midpoint of implied 2Q26 net profit, Rmb4,187mn, is largely **in line with MSe of Rmb4.2bn**.

- Tanker profit: 2Q26 profit contribution +50% QoQ, despite temporary oversupply pressure after disruption in the Strait of Hormuz.
- Dry bulk: 2Q26 profit contribution +170% QoQ, benefiting from continued improvement in supply-demand dynamics and BDI recovery.
- Containers and Ro-ro: Both showed steady recovery trends.

See also:

[Positive RTI on CMES](#)[Hong Kong/China Transportation & Infrastructure: Catalyst Preview: Mandatory Profit Alerts \(30 Jun 2026\)](#)[Tanker Shipping: Beneficiary of Strait Reopening; Reiterate Bullish Views \(15 Jun 2026\)](#)[China Merchants Energy Shipping Co. Ltd.: Research Tactical Idea \(14 Jun 2026\)](#)

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Asia Summer School 2026

China Merchants Energy Shipping Co. Ltd. (601872.SS, 601872.CG)

Hong Kong/China Transportation & Infrastructure | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb25.10
Up/downside to price target (%)	48
Shr price, close (Jul 3, 2026)	Rmb17.00
52-Week Range	Rmb22.16-6.02
Sh out, dil, curr (mn)	8,075
Mkt cap, curr (mn)	Rmb137,267
EV, curr (mn)	Rmb144,850
Avg daily trading value (mn)	Rmb1,445

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.74	1.40	1.01	1.06
EPS (Rmb)§	0.72	1.45	1.31	1.24
Revenue, net (Rmb mn)	28,177	34,501	31,209	32,683
EBITDA (Rmb mn)	10,237	18,259	16,137	17,296
ModelWare net inc (Rmb mn)	6,012	11,266	8,155	8,541
P/E	12.1	12.2	16.8	16.1
P/BV	1.7	2.8	2.5	2.3
RNOA (%)	11.2	21.3	14.9	14.8
ROE (%)	15.0	26.2	16.5	15.8
EV/EBITDA	7.8	7.8	8.8	8.0
Div yld (%)	3.5	3.5	2.6	2.7
FCF yld ratio (%)**	4.2	1.4	0.4	2.9
Leverage (EOP) (%)	52.4	54.8	60.4	59.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

China Merchants Energy Shipping Co. Ltd. (601872.SS)

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull cases reflects VLCC's tight supply, more sanctions on the "dark fleet," and OPEC+ production hikes, despite downside risks from containers.

Target 2027e P/B multiples:

Base - 3.2x, 2.7SD above historical mean since 2009

Bull - 6.3x, 7.8SD above historical mean since 2009

Bear - 1.6x, 0.1SD above historical mean since 2009

Risks to Upside

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distance for crude and dry bulks
- Potential OPEC+ production increase

Risks to Downside

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output from OPEC
- Weaker than expected infrastructure demand in China

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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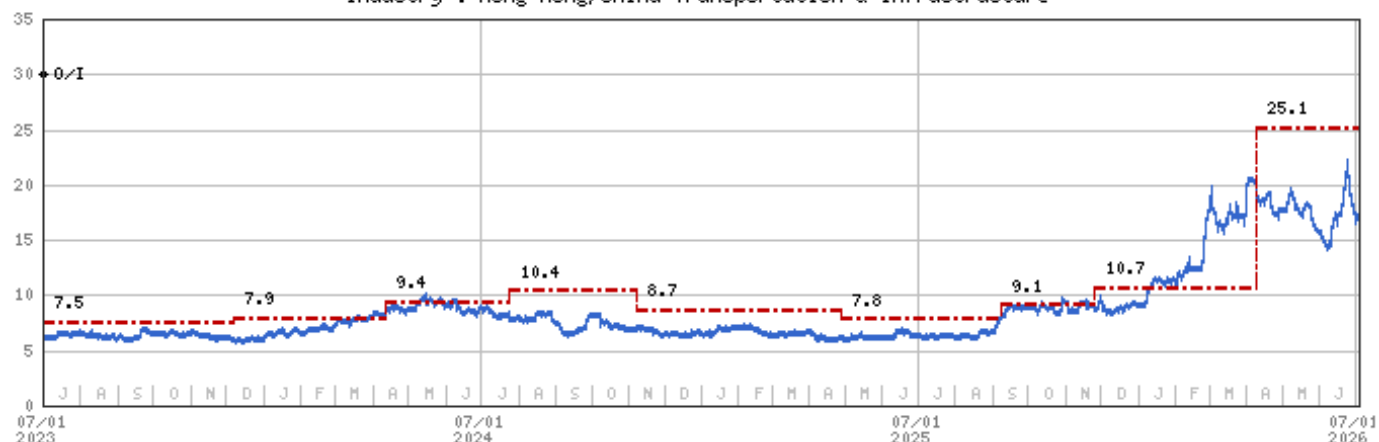
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Stock Price, Price Target and Rating History (See Rating Definitions)

China Merchants Energy Shipping Co. Ltd. (601872.SS) - As of 07/04/26 GMT in CNY
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : 0/I

Price Target History: 6/4/21 : 5.42; 11/30/21 : 5.6; 5/20/22 : 6.89; 6/10/22 : 8.22; 1/12/23 : 6.68; 2/28/23 : 8.3; 6/1/23 : 7.5; 12/7/23 : 7.9; 4/12/24 : 9.4; 7/25/24 : 10.4; 11/8/24 : 8.7; 4/28/25 : 7.8; 9/9/25 : 9.1; 11/25/25 : 10.7; 4/10/26 : 25.1

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/03/2026)
Qianlei Fan, CFA		
Air China Limited (601111.SS)	O (02/09/2026)	Rmb6.10
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.26
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.63
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$80.90
Cathay Pacific Airways (0293.HK)	O (06/10/2026)	HK\$13.05
China Eastern Airlines (600115.SS)	O (02/09/2026)	Rmb3.80
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.20
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb17.00
China Southern Airlines (600029.SS)	O (02/09/2026)	Rmb5.21
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.39
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$14.55
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb17.37
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb13.72
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$13.54
J&T Global Express Ltd (1519.HK)	E (08/21/2024)	HK\$9.25
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$126.40
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$2.90
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb32.47
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$33.66
Spring Airlines (601021.SS)	O (08/31/2015)	Rmb46.72
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$8.14
ZTO Express (ZTO.N)	O (11/21/2016)	US\$23.08
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.50
Guangzhou Baiyun Int'l Airport (600004.SS)	U (06/10/2026)	Rmb7.51
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$12.19
Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb22.92

STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb16.31
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb17.20
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb6.81

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.